

by people in both urban and rural areas, and 75 percent of these are actually from the upper socioeconomic classes. There were more affluent feature phone users in the north and south of India, as compared to the east and west. Half of all feature phone users listen to music on their devices, and a third watch videos. So, feature phones are not just for calling and sending messages. Feature phone users also access the internet from their devices. Feature phone users actually spend more on their plans, and the average revenue per user (ARPU) from feature phone users was 20 percent above the national average. Another assumption is that most feature phone users are looking to upgrade to a smartphone, which is again simply not true. Only 15 percent of feature phone users actually want to upgrade to a smartphone. The main reasons for these were the durability of feature phones, the long battery life, and ease of repair. Now, there is also a question of the value proposition of a smartphone. While a feature phone can easily last upwards of six years, the same cannot be said for the smartphone. There are few applications and services that cater specifically to the Indian population, in local regional languages. For the older generations, adapting to feature phones itself has been problematic, and smartphones may simply be too hard to handle.

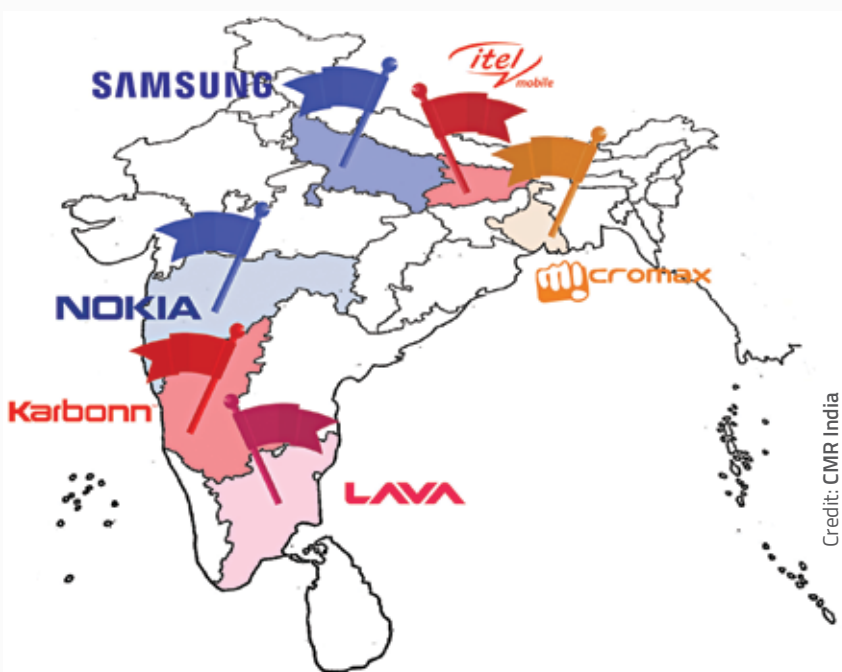
A Omidyar Network report on the adoption of financial services in India, looked into why users in India were hesitating to shift to smartphones. Those who plan to continue using feature phones say the hardiness and long battery life are what makes them a preference, which agrees with the findings of the Kantar IMRB and MMA report. These areas have spotty internet connections, and as such is not a priority. The report quotes one of the participants of the study, Virhulu a weaver and farmer from Nagaland as saying, "I am very comfortable with my Nokia keypad phone and don't see any utility for a smartphone. Internet? I don't use it." According to the Omidyar Network report, smartphone

penetration is projected to overtake feature phones in 2020.

According to projections by Counterpoint Research, 400 million phones are expected to be sold globally in 2019. The shipments are projected to cross 1 billion devices over the next three years. This growth will primarily be driven by emerging economies. Peter Richardson, Research Director at Counterpoint Research says, "India and the Middle East Africa region will see cumulative shipments of around 800 million feature phones out of more than one billion global feature phone shipments over the next three

emerging markets of India and Nigeria have the greatest number of people without access to electricity. However, the phone remains an important part of people's lives in these regions as well. Amid the dearth of electricity, in some cases, the user is dependent on public charging stations (shops giving facilities to charge phones in return for a payment). Long battery life becomes crucial in such situations."

Smartphone penetration or sales may overtake feature phones in the next few years, but that does not mean that feature phones are going to die out any time soon. They offer incred-



The states in which the top five feature phone players in India are the most popular

years. Globally, the feature phone segment is forecasted to generate around US\$16 billion cumulatively in wholesale hardware revenues over the next three years." A lot of people in India simply cannot afford a smartphone, and a feature phone is a helpful, long term investment. Even if a family shares a feature phone, it stands to improve their lives. In the most remote regions in India, with spotty electricity connections, a long battery life is absolutely essential. Varun Mishra, Research Analyst at Counterpoint Research says, "The

ible value, and serve all the needs that a device is expected to do. Users can derive entertainment and information from feature phones, and it is not just for basic communication, contrary to popular belief.

They are also very easy to use, long-lasting and easy to maintain. There are companies that are providing or looking to provide healthcare, e-learning, governance and financial services over feature phones too. These low cost devices do it all. So, we can safely conclude that feature phones are here to stay in India. **d**